

Table B.1 shows the Sharpe ratios for formation periods ranging from 2 to 18 months. Since our data begins in January 1973 (except for high-yield bonds, which begin in July 1983) and 18 months is the maximum formation period that we consider, results extend from July 1974 through December 2012. We have highlighted the highest Sharpe ratios for each asset. Best results cluster at 12 months. As a check on this, we segment our data into subsamples and find the highest Sharpe ratios for each asset in every decade from 1974 through 2012. Figure B.1 shows the number of times the Sharpe ratio is highest, or within two percentage points of being highest, for each look-back period across all the decades.

Table B.2 Formation Period Sharpe Ratios

Look-Back	18	16	14	12	10	8	6	4	2
MSCI US	0.41	0.43	0.45	0.56	0.46	0.44	0.41	0.38	0.23
EAFE	0.33	0.32	0.35	0.41	0.45	0.32	0.38	0.36	0.46
TBOND	0.40	0.42	0.45	0.54	0.38	0.36	0.33	0.42	0.40
CREDIT	0.75	0.80	0.70	0.74	0.80	0.81	0.69	0.71	0.66
HI YLD	0.70	0.87	0.82	0.92	0.66	0.69	0.82	0.77	0.77
REIT	0.65	0.71	0.72	0.69	0.63	0.63	0.87	0.68	0.63
GSCI	0.04	0.04	0.09	0.20	0.09	-0.08	-0.11	0.13	0.06
GOLD	0.39	0.35	0.35	0.42	0.39	0.37	0.32	0.30	0.21